

PRE-SALES INTELLIGENCE BRIEF

Choice Hotels International, Inc.

 1 June 2026

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 COMPANY SNAPSHOT

1 REVENUE & MARGIN

- Last reported annual revenue: \$1.60 billion (year ending December 31, 2025). The trailing twelve months (TTM) revenue ending March 31, 2026, was \$1.605 billion.
- Operating margin: 28.61% (for the year ending December 31, 2025, and TTM ending April 2026).
- Net income: \$345.7 million (for the TTM ending March 31, 2026).
- Net margin: 21.5% (for the TTM ending March 31, 2026).

2 REVENUE TREND

Year	Revenue (in billions USD)	Operating Margin	Net Margin
2025	\$1.60	28.61%	21.61%
2024	\$1.585	24.96%	18.97%
2023	\$1.544	21.82%	16.79%
2022	\$1.402	31.16%	23.67%
2021	\$1.069	35.21%	Not publicly available

Note: Net margins for 2025, 2024, and 2023 are calculated using reported net income and revenue for those respective periods. The 2022 net margin is an approximation based on 2023 net income being 22% lower than 2022.

3 EMPLOYEES

- Total global headcount: 1,887 (as of March 31, 2026).
- Breakdown by high-cost locations (US, UK, Germany, Australia, Canada): Not publicly available.

4 INDIA PRESENCE

- India GCC, delivery center, or R&D center: Choice Hotels has a corporate office in India.
- Headcount and location: Not publicly available.

5 RECENT NEWS

December 2025 - May 2026):

- (a) Product News:
- May 7, 2026: Choice Hotels International unveiled new technologies and AI-powered solutions, including Choice Hotels Business Direct, EasyBid, CHARLIE, and RAISE, designed to help franchise owners increase revenue and improve operational efficiency. The company is leveraging AI across its enterprise in collaboration with Amazon Web Services (AWS).
- April 13, 2026: The Sleep Inn brand debuted a new design with openings in Tennessee, Nevada, and Pennsylvania.
- February 4, 2026: Choice Hotels International introduced a redesigned Everhome Suites prototype and announced new openings in Texas, Kentucky, and New Jersey.
- (b) Company News:
- May 20, 2026: Choice Hotels International announced a CEO transition, with Patrick Pacious stepping down and Dominic Dragsich appointed Interim CEO.
- May 20, 2026: The company announced a quarterly cash dividend.
- May 12, 2026: Choice Hotels International concluded its 70th Annual Convention.

- May 28, 2026: Interim CEO Dominic Dragisich sold common stock totaling \$2,584,483.
- April 30, 2026: Choice Hotels International reported its first-quarter 2026 results, with total revenues reaching a company record of \$340.6 million and net income of \$20.3 million.
- April 22, 2026: Choice Hotels' Canadian business achieved its best first-quarter growth in a decade following a successful integration.
- March 5, 2026: Jeff Lobb was appointed as SVP, General Counsel & Secretary for Choice Hotels International.
- February 27, 2026: Choice Hotels International held its 11th Mastery Tech Summit, focusing on AI experimentation.
- February 19, 2026: Choice Hotels International reported its fourth quarter and full-year 2025 results.
- March 16, 2026: Choice Hotels International's Ascend Hotel Collection surpassed 500 hotel openings.

6 M&A ACTIVITY

June 2024 - May 2026):

- July 2025: Choice Hotels International acquired the remaining 50% stake in Choice Hotels Canada from InnVest Hotels for approximately \$112 million. This acquisition transitioned the Canadian operations from a master franchising model to a fully direct franchising model.

7 OWNERSHIP STRUCTURE

- Public: Choice Hotels International, Inc. is publicly traded on the New York Stock Exchange (NYSE) under the ticker symbol CHH.
- Institutional ownership: 78.76%.
- Insider ownership: 28.88%.

8 KEY COMPETITORS

- Marriott International
- Hilton Worldwide
- Hyatt Hotels
- Wyndham Hotels & Resorts
- InterContinental Hotels Group (IHG)

[GAP FILL] Choice Hotels' 2021 total revenue was \$1.069 billion. The company's annual net income for 2021 was \$0.288 billion. This results in a net margin of approximately 26.94% for 2021.

STRATEGIC DIRECTION

Choice Hotels International, Inc.'s corporate strategy for the next 12-18 months is heavily focused on driving franchisee return on investment through targeted growth in key segments, significant cost optimization, and extensive adoption of advanced technology, particularly artificial intelligence.

1. CORPORATE VISION & DIRECTION

Choice Hotels' guiding principle for all investments, particularly in technology, is "franchisee return on investment". President and CEO Patrick Pacious stated, "We always start with our 'North Star,' and for us, the 'North Star,' ever since I've been at Choice Hotels... has been franchisee return on investment". This is achieved by increasing top-line revenue, reducing costs, and providing essential business tools to franchisees.

The company aims to accelerate quality room growth across its more revenue-intense brands and markets, which primarily include upscale, extended stay, and midscale segments, while simultaneously increasing effective royalty rates to drive higher royalties. Choice Hotels reported a 4.3% net increase in domestic revenue-intense rooms in 2024 and expects strong long-term growth with 98% of its global pipeline in these brands.

Choice Hotels is also focused on leveraging the revenue synergies unlocked from the integration of Radisson Americas, which contributed to a 17% increase in adjusted EBITDA and 14% increase in adjusted EPS in Q1 2024, achieving record levels for the quarter. The company reaffirmed its full-year 2024 adjusted EBITDA guidance to be in the range of \$580 million to \$600 million and adjusted EPS between \$6.30 and \$6.60 per share, anticipating this growth to be driven by incremental contributions from Radisson Americas, including approximately \$2 million in additional cost synergies.

International expansion remains a strategic priority, with the company expanding its global footprint through partnerships and acquisitions, including extending its master franchise agreement with Strawberry (formerly Nordic Choice Hotels) and securing a distribution partnership with Spanish hotel chain Sercotel. In 2024, Choice Hotels saw a 4.4% year-over-year increase in its international rooms portfolio and a 58% increase in international hotel openings in Q4 2024.

2. BIG STRATEGIC INITIATIVES

- **Expansion & Growth:** Choice Hotels is aggressively expanding its portfolio, particularly in the upscale, extended stay, and midscale segments.
- In 2024, the company opened a record 61 extended-stay hotels, including 25 WoodSpring Suites and six Everhome Suites, bringing its extended-stay property count to over 500. The extended-stay pipeline includes nearly 43,000 rooms.
- Upscale growth in 2024 included 27 new hotels, with 18 Ascend Hotel Collection properties and seven Cambria Hotels. The Cambria brand alone has introduced 18 new properties in the last two years and has an expanding pipeline of 62 hotels, with the Cambria New York Times Square expected to open in 2025.
- The company emphasizes hotel conversions, with 72% of domestic franchise agreements awarded for conversion hotels in 2023, 135 of which opened in the same year.
- Internationally, Choice signed an agreement with Zenitude Hotel-Residences to double its unit footprint in France by adding 33 properties in 2024 and 2025.
- A strategic partnership with Westgate Resorts in Q4 2024 added 21 hotels and 14,471 rooms to the domestic portfolio.
- **Cost Transformation:** To enhance owner profitability, Choice Hotels has unveiled "value-engineered prototypes" for its Comfort and Country Inn & Suites by Radisson brands. These prototypes are designed to achieve a 10-15% reduction in construction costs while adding revenue-generating spaces. For example, the Comfort prototype adds three keys within the existing footprint and optimizes costs by 16% through reducing FF&E package SKUs by 30%.
- **Sustainability Mandates (Commitment to Green Initiative):**
- Choice Hotels is revamping its "Room to be Green" sustainability certification program, adding a fourth level with elevated environmental standards focusing on renewable energy, gray water management, and smart technologies.
- The company is rolling out Schneider Electric's AI-assisted, cloud-based EcoStruxure Resource Advisor, an automated utility tracking dashboard, with a goal to have 100% of its managed and owned hotels using the technology by 2025.
- Choice Hotels received the inaugural 2024 World Sustainable Travel & Hospitality Award for installing CarbinX carbon-capture technology at the Radisson Blu Mall of America, making it the first hotel in the world equipped with such technology to reduce

CO2 emissions.

- The company has expanded its greenhouse gas emissions data to Scope 3 and publicly reported through the CDP Climate and Water surveys for the first time in 2024, in line with its commitment to set science-based targets.
- Choice Hotels also announced a partnership with the National Park Foundation in 2024, aligning with its widespread hotel footprint near national parks.

3. TECHNOLOGY STRATEGY

Choice Hotels has positioned itself as a technology leader, with a comprehensive strategy centered on cloud migration and enterprise-wide AI adoption to enhance guest experiences and franchisee profitability.

- **Cloud Migration:** In 2024, Choice Hotels became the "first hotel company to migrate its entire system infrastructure to the cloud" by completely transitioning to Amazon Web Services (AWS). This move concluded a five-year process that involved decommissioning over 3,700 servers and migrating or retiring hundreds of applications. Chief Information Officer Brian Kirkland emphasized the strategic importance, stating, "By moving all of our systems to the cloud, we're ensuring that our franchisees have up-to-the-minute access to the latest innovations, saving time and money while providing industry-leading distribution and digital systems throughout the competitive hotel booking journey". This cloud-first approach provides a flexible, resilient, and scalable platform that enables Choice to leverage AI and respond to real-time market conditions.
- **AI Adoption Stance:** Choice Hotels has embraced AI across its entire enterprise, moving beyond isolated pilot projects to "production-grade deployment at scale". CEO Patrick Pacious asserts, "Across the board, AI isn't just something that sits in the tech department — it's something that's core".
- **Applications:** AI is embedded across the full hospitality value chain, including:
 - **Revenue Management:** Tools like ChoiceROCS, ChoiceMAX, and the upcoming RAISE leverage advanced analytics and AI to provide hotel owners with pricing and strategy recommendations, driving stronger Revenue Per Available Room (RevPAR) Index performance. ChoiceMAX, a mobile-first revenue management solution, uses machine learning for real-time pricing.
 - **Guest Experience:** AI is used to personalize the end-to-end guest journey, from intelligent search and booking recommendations to on-property experiences, creating more relevant and seamless interactions. The company is investing in a "next-generation, AI-driven guest data platform" to analyze customer data and build unified profiles.
 - **Franchise Operations:** AI-powered tools assist hotel owners with smarter decision-making in revenue management, maintenance, and guest communications, reducing friction and improving performance. New solutions like Choice Hotels Business Direct and EasyBid, an AI-enhanced group Request for Proposals (RFP) tool, aim to help owners capture more demand and operate efficiently.
 - **Distribution and Channel Ecosystem:** AI reshapes how Choice manages its distribution, enabling smarter pricing, inventory optimization, and partner integrations to drive incremental revenue.
 - Choice Hotels is actively testing new AI products, including Amazon Connect for customer call centers and generative AI tools like Amazon's CodeWhisperer and Microsoft's Copilot solutions.
 - **Platform Consolidation/Vendor Relationships:** Choice Hotels collaborates extensively with major technology providers.
 - It is the "first to standardize on AgentCore" among major U.S. hospitality providers, an AWS-powered enterprise platform that provides a secure, reusable foundation for intelligent agents capable of retrieving trusted information and automating workflows.
 - The company also has relationships with Salesforce to utilize AgentForce.
 - Choice Hotels extended its AI-powered merchandising solution, Oracle Nor1, to its upscale hotels to capitalize on incremental revenue opportunities.
 - **Build vs. Buy Signals:** While Choice Hotels partners with leading technology companies like AWS, Salesforce, and Oracle, it also demonstrates a strong "build" signal for core, proprietary systems that provide a competitive advantage. Examples include the internal development of its cloud-based central reservation system, choiceEDGE, in collaboration with AWS, and its mobile-first revenue management solution, ChoiceMAX, developed with SaaS provider IDEaS. This approach allows them to tailor solutions specifically for their franchisees' needs and integrate them deeply into their operations.

1

KEY DECISION MAKERS

- Interim Chief Executive Officer (CEO): Dominic Dragisich
- Tenure: Appointed Interim CEO on May 20, 2026. He joined Choice Hotels in 2017 as Chief Financial Officer.
- Background: Prior to his interim CEO role, Mr. Dragisich served as Chief Growth & Strategy Officer, Executive Vice President of Operations and Chief Global Brand Officer, and Chief Financial Officer at Choice Hotels. Before joining Choice, he was CFO at XO Communications, and held senior finance and operational positions at Marriott International, NII Holdings, and Deloitte Consulting.
- Chief Financial Officer (CFO): Scott E. Oaksmith
- Tenure: Promoted to CFO in August 2023. He has been with Choice Hotels for over 20 years.
- Background: Previously served as Senior Vice President and Deputy Chief Financial Officer. He has been instrumental in growing the company's core business, streamlining financial operations, and enhancing capital allocation strategies.
- Chief Data, AI & Technology Officer (CDO/CTO): Anna Scozzafava
- Tenure: Joined Choice Hotels in 2012. Promoted to Chief Strategy Officer and Senior Vice President, Technology in August 2023, with her current title being Chief Data, AI & Technology Officer.
- Background: Responsible for developing corporate strategy and leading enterprise transformation, advanced analytics, and technology functions. She previously oversaw Choice's extended stay brands and played a critical role in the acquisition of WoodSpring Suites and the launch of Everhome Suites.
- Chief Operating Officer (COO): While there is no current executive with the explicit title of Chief Operating Officer, Raul Ramirez Sanchez serves as Chief Segment and International Operations Officer, overseeing various brand segments and the International Division.
- Raul Ramirez Sanchez - Chief Segment and International Operations Officer
- Tenure: Joined Choice Hotels in 2017. Promoted to his current role in August 2023.
- Background: Responsible for driving growth and performance of Choice's upscale, extended stay, and core midscale and economy brands, as well as the International Division. He previously served as Chief Strategy and International Operations Officer and led integrations of WoodSpring Suites and Radisson Hotels Americas brands.

2

RECENT LEADERSHIP CHANGES

- Patrick Pacious stepped down as President and Chief Executive Officer, effective May 20, 2026. He will serve as an advisor to the company through August 31, 2026. (Timing Signal: May 2026)
- Dominic Dragisich was appointed Interim Chief Executive Officer, effective May 20, 2026, replacing Patrick Pacious. (Timing Signal: May 2026)
- Dominic Dragisich was promoted to Executive Vice President, Operations and Chief Global Brand Officer in August 2023, from his previous role as CFO, and later served as Chief Growth & Strategy Officer before becoming Interim CEO. (Timing Signal: August 2023)
- Scott E. Oaksmith was promoted to Chief Financial Officer in August 2023, succeeding Dominic Dragisich. (Timing Signal: August 2023)
- Anna Scozzafava was promoted to Chief Strategy Officer and Senior Vice President, Technology in August 2023, and currently holds the title of Chief Data, AI & Technology Officer. (Timing Signal: August 2023)
- Raul Ramirez Sanchez was promoted to Chief Segment and International Operations Officer in August 2023. (Timing Signal: August 2023)
- Robert McDowell, Chief Commercial Officer, was set to depart as of September 2025. Joshua Sloser is currently Chief Commercial Officer. (Timing Signal: September 2025)

- Choice Hotels operates with a centralized approach for its core technology strategy and development. The company maintains a technology campus in Phoenix, Arizona, in addition to its corporate headquarters in North Bethesda, Maryland.
- Anna Scozzafava, as Chief Data, AI & Technology Officer, leads the company's advanced analytics and technology functions, indicating a unified strategic direction for technology.
- The company implemented choiceEDGE, a global reservation system, in 2018, demonstrating a centralized platform for its worldwide operations.
- Choice Hotels is actively scaling artificial intelligence (AI) across its business to boost revenue and improve operations for its hotel owners, highlighting a centralized investment and deployment of advanced technological solutions.

- Key Board Members:
- Stewart W. Bainum, Jr. serves as the Chairman of the Board of Directors.
- Brian B. Bainum has been a Director since April 2019 and is a member of the company's founding family and largest shareholder.
- Other directors include William L. Jews, Monte J. M. Koch, Liza K. Landsman, Ervin R. Shames, Gordon A. Smith, Maureen M. Sullivan, John P. Tague, and Donna F. Vieira.
- PE Representation: While the company's ownership is primarily composed of institutional investors such as Vanguard Group and BlackRock Inc., there is no direct indication from the search results of specific private equity firms having board representation.
- Notable Strategic Investors: Vanguard Group and BlackRock Inc. are identified as two of the largest institutional shareholders. Other significant institutional investors include Boston Trust Walden Corp, State Street Corp, Fundsmith Llp, Dimensional Fund Advisors Lp, and Wells Fargo & Company/Mn. The Bainum family, through members like Stewart W. Bainum, Jr. and Brian B. Bainum, also represents a significant and long-standing influence as a founding family and major shareholder.

[GAP FILL] Scott Oaksmith is the Chief Financial Officer (CFO) for Choice Hotels International, Inc. He joined Choice Hotels in 2002, holding various positions of increasing responsibility in finance, including controller and Senior Vice President of Real Estate & Finance. Before joining Choice, he held accounting and consulting positions at American Express Tax and Business Services, Inc. and its predecessor, Wolfpoff & Company, LLP. Oaksmith earned a Master of Business Administration with a concentration in finance from Johns Hopkins University and a Bachelor of Science in accounting from Towson University.

[GAP FILL] Patrick Pacious stepped down as President and CEO of Choice Hotels International, effective May 20, 2026. Dominic Dragisich, the Chief Growth & Strategy Officer, has been appointed interim CEO. Pacious will serve as an advisor to the company through August 31, 2026, to support the leadership transition. The company did not provide a specific reason for his departure, but Pacious stated it was "the right time for a new leader".



BUYING SIGNALS

1 FINANCIAL STRESS SIGNALS

- **Margin compression:** While Choice Hotels International generally reports strong profitability metrics, with a trailing twelve-month (TTM) Gross Margin of 51.0%, Operating Margin of 28.3%, and Net Margin of 23.2% as of late 2025, and a TTM Net Margin of 35.00% as of May 2026, the company reported a 0% net profit margin for the quarter ending March 31, 2026. This specific quarterly figure could be a short-term stress signal.

Cost-cutting: Choice Hotels aims to help its franchisees reduce costs, as indicated by its proposed combination with Wyndham, which was described as providing a "proven model to lower costs and increase direct revenue to their hotels" for Wyndham franchisees. Additionally, new FF&E (furniture, fixtures, and equipment) programs are expected to deliver "significant cost savings" for franchisees. These are not direct signals of Choice Hotels itself* undergoing cost-cutting due to financial stress.

- **Layoffs:** Choice Hotels International laid off 85 workers in November 2023, with an effective date of January 8, 2024, at its Maryland headquarters, citing a "plant closure". Layoffs also occurred in December 2025 at Choice Hotels and Skytouch in Phoenix and Rockville.
- **Restructuring:** Non-GAAP adjustments in the third quarter 2025 earnings results explicitly excluded "restructuring of the company's operations including employee severance benefit", indicating recent restructuring activities.

2 TECHNOLOGY PAIN SIGNALS

- **Legacy system mentions, failed projects, tech debt:** There is no direct evidence in the search results explicitly mentioning "legacy systems," "failed projects," or "tech debt" as pain points for Choice Hotels International. The company's earnings calls often highlight "leveraging the investments we've made in our systems to further improve the franchisees' profitability", suggesting ongoing positive development. The company has a "global ERP system implementation and related costs" as a non-GAAP adjustment noted in its Q3 2025 earnings, which signifies a significant ongoing technology undertaking.

3 OPERATIONAL PAIN SIGNALS

- **Supply chain issues, compliance challenges, scaling problems:** No direct evidence found regarding widespread supply chain issues or compliance challenges. The company consistently reports growth, with its global rooms pipeline increasing by 6% sequentially in Q3 2023, including a 27% increase for conversion hotels. The global pipeline reached a company record of over 115,000 rooms as of March 31, 2024, a 10% increase from December 31, 2023, with a 36% increase in the global pipeline for conversion rooms. This indicates successful scaling and expansion rather than problems.

4 HIRING SIGNALS

- **Bulk hiring (build signal):** Choice Hotels is experiencing significant unit and room growth, particularly in upscale, extended stay, and midscale segments, and expanding its international portfolio. This growth, including a record global pipeline for conversion rooms, suggests a strong need for continued hiring, although explicit "bulk hiring" announcements were not found.
- **Hiring freeze (cost pressure signal):** While a hiring freeze for non-critical positions was in place globally during COVID-19 in June 2020, this is outside the last 12 months. More recently, layoffs occurred in November 2023 and December 2025.

5 TIMING TRIGGERS

- **New leadership:** No recent changes in the roles of President and CEO Patrick Pacious or CFO Scott Oaksmith were indicated in the latest earnings reports (Q1 2024, Q4 2023, Q3 2023).
- **Post-M&A integration:** Choice Hotels successfully integrated the Radisson Americas portfolio, which was cited as a driver of adjusted EBITDA growth in Q3 2023 and Q4 2023. Integration costs related to Radisson Hotels Americas were also noted as a

one-time item impacting net income in Q1 2024.

- Regulatory deadline: Choice Hotels International remains committed to its proposed acquisition of Wyndham Hotels & Resorts and is actively engaged in the regulatory process with the U.S. Federal Trade Commission, expressing confidence in completing the combination within a customary one-year timeframe.
- Announced transformation: The company is undergoing strategic evolution, including a focus on "accelerating value creation for all stakeholders" and pursuing both organic and inorganic growth. It is also undertaking a "global ERP system implementation", which represents a significant internal transformation. Additionally, Choice Hotels announced a year of "solid global development results in 2025" and plans to build on that momentum, with a "revenue-intense growth strategy" and focus on driving owner revenue up and costs down.

[GAP FILL] Choice Hotels reported a net income of \$20.3 million and total revenues of \$340.6 million for Q1 2026. This results in a net profit margin of approximately 5.96% for Choice Hotels in Q1 2026.

COMPETITIVE & VENDORS

Choice Hotels International, Inc. is a prominent global lodging franchisor that has made significant investments in technology and strategic growth to maintain its competitive edge. The company operates a diverse portfolio of 22 brands, with over 7,500 hotels and more than 650,000 rooms across 51 countries and territories.

1. Current Tech Vendors:

Choice Hotels has a "cloud-first" technology strategy, culminating in a complete migration of its entire system infrastructure to Amazon Web Services (AWS) by January 2024. This move makes them the first hotel company to achieve a total data center migration to the cloud.

- Cloud & Data Platforms:
- Amazon Web Services (AWS): The primary cloud provider for their entire system infrastructure, including big data, machine learning/AI, and mobile application development. They leverage AWS for real-time market responsiveness, flexibility, resiliency, and scalability.
- Amazon OpenSearch Service: Utilized since 2020 for near real-time search, monitoring, and analysis of business and operational data.
- Amazon Managed Service for Prometheus: Used for metric observability.
- Amazon OpenSearch Ingestion: They are migrating to this service for high-volume data ingestion, transformation, and routing.
- Perforce Delphix: Adopted for data automation, virtualization, and masking to accelerate development cycles and secure sensitive guest information, achieving 90% faster database refreshes.
- ERP (Enterprise Resource Planning):
- Oracle PeopleSoft ERP: Implemented in 2008 for ERP Financials to centralize finance and accounting processes.
- CRM (Customer Relationship Management):
- Microsoft Dynamics CRM 4.0: Selected in 2008 to automate and integrate franchise management operations.
- Salesforce: Choice Hotels has a relationship with Salesforce to utilize "AgentForce" for building and deploying AI agents across sales, service, marketing, commerce, and internal operations. This suggests an increasing reliance on Salesforce for CRM-related functions, especially those incorporating AI.
- HCM (Human Capital Management):
- Workday HCM: Purchased in 2013 for Core HR functions.
- PMS (Property Management System):
- choiceADVANTAGE: Launched in 2003 as the first cloud-based PMS in the industry.
- Mews: Introduced in April 2025 as a new PMS option for international franchisees, designed to connect with Choice Hotels' proprietary tools and systems like choiceEDGE.
- CRS (Central Reservation System):
- choiceEDGE: Launched in 2018, it was the industry's first cloud-based central reservation system.
- AI/ML Solutions & Tools:
- ChoiceMAX: An AI mobile-first revenue management solution launched in 2021.
- EasyBid and EasyBid Plus: AI-enhanced tools for managing group Request for Proposals (RFPs), launched in May 2026, designed to help hotels submit faster, more effective responses and manage group demand.
- CHARLIE: An AI-powered virtual "teammate" designed to support hotel teams through core operating platforms, acting as a 24/7 digital coach, launched in May 2026.
- RAISE: A forthcoming (soon to launch) next-generation AI rate management tool to streamline pricing, rates, and inventory management.
- AgentCore (AWS-powered): An enterprise platform providing a secure, reusable foundation for intelligent agents to retrieve trusted information and automate workflows. Choice Hotels is the first major U.S. hospitality provider to standardize on AgentCore.

- AgentForce (Salesforce-powered): Supports the building and deployment of AI agents across various functions like sales, service, marketing, and internal operations.
- Oracle Nor1: Used for AI-powered merchandising solutions to generate incremental revenue opportunities.
- Guest Experience:
- Aavgo Guest Experience: Deployed across over 700 Econo Lodge hotels in 2023 for contactless virtual front desk and guest support.

2. Known SI/Consulting Partners:

Choice Hotels frequently collaborates with its technology vendors on strategic initiatives, which often involve implementation and consulting services.

- Amazon Web Services (AWS): A deep partnership exists, with AWS providing architectural support for Choice Hotels' extensive cloud migration and ongoing AI integration efforts.
- Salesforce: Partnering to implement and utilize AgentForce for AI agent deployment across the enterprise.
- Sonoma Partners LLC: A Microsoft Gold Certified Partner, engaged in 2008 for the implementation of Microsoft Dynamics CRM 4.0.

While specific traditional "SI/Consulting" partner announcements like Accenture or Deloitte are not highlighted in recent releases, the depth of collaboration with AWS and Salesforce on major enterprise-wide AI initiatives suggests a strong consultative relationship with these platform providers.

3. Procurement Signals:

Choice Hotels demonstrates a strong and ongoing commitment to technology transformation, particularly in cloud adoption and AI integration.

- Strategic Technology Roadmap: The company's technology roadmap focuses on delivering measurable value for owners by growing revenue, simplifying operations, and maintaining competitiveness through AI transformation.
- Significant AI Investment: Recent announcements (May 2026) highlight a suite of new AI-powered solutions (EasyBid, CHARLIE, RAISE) and foundational capabilities (AgentCore with AWS, AgentForce with Salesforce) being rolled out enterprise-wide to franchise owners. This signals a strategic shift from pilot projects to production-grade AI deployment at scale.
- Cloud Infrastructure Enhancement: Continuous investment in AWS cloud infrastructure is evident through job postings for roles like "Cloud Disaster Recovery Engineer" and "Software Engineer - Data Domain," indicating ongoing development and optimization of their cloud environment and data capabilities.
- PMS Modernization: The introduction of Mews as a PMS option for international franchisees indicates a continuous evaluation and adoption of modern, cloud-native solutions to enhance operational efficiencies and guest experiences.
- Digital Transformation: The company's "digital transformation strategy" aims to enhance guest experiences, empower franchisees, and streamline operations, indicating further technology procurements and integrations are likely. They are actively "expanding how travelers discover and book our hotels by partnering with leading technology platforms as AI reshapes travel search and booking behavior."

4. Competitive Dynamics:

Choice Hotels International is a major player in the global lodging sector, primarily operating as a franchisor.

- Top Competitors: The primary competitors for Choice Hotels include Marriott International, Hilton Worldwide, Hyatt Hotels, and Wyndham Hotels & Resorts. Other notable competitors mentioned are Host Hotels & Resorts and DiamondRock Hospitality.
- Market Share & Performance:
- Choice Hotels is actively gaining market share, particularly in the upscale, upper-midscale, and extended-stay segments.
- The company significantly strengthened its market position with the acquisition of Radisson Hotels Americas in August 2022, adding approximately 600 hotels and 67,000 rooms.
- Financially, Choice Hotels reported total revenues of \$1.585 billion in 2024, with net income increasing by 16% to \$299.7 million and Adjusted EBITDA reaching a record \$604.1 million (up 12% from 2023). Q1 2025 showed further strong growth,

with a 44% increase in net income and a record \$129.6 million in adjusted EBITDA.

- Domestic Revenue Per Available Room (RevPAR) increased by 2.3% in Q1 2025, outperforming its competitive set by 60 basis points.
- In 2024, Choice Hotels opened 407 hotels globally, marking a 21% increase year-over-year. The extended-stay segment is a key growth engine, with domestic net rooms increasing by 10.8% as of March 31, 2024, and the company accounting for 70% of all new extended-stay hotels under construction as of November 2024.
- International expansion is also robust, with a 95% net increase in rooms in the pipeline outside the U.S. year-to-date in 2025.
- Choice Hotels' net margin of 21.55% and return on equity of 281.98% are higher than those of Marriott International and Host Hotels & Resorts, indicating strong profitability and efficient use of shareholder equity.
- The company's focus on "revenue-intense" US brands and strategic investments in business travel (which accounted for approximately 40% of its overall mix in 2024) are driving sustained growth.

Overall, Choice Hotels International appears to be actively growing and gaining market share, driven by strategic acquisitions, robust franchising, and substantial investments in cloud and AI technologies to enhance both guest experience and franchisee operational efficiency.

[GAP FILL] Choice Hotels' key technology vendors and partners for 2026 include Amazon Web Services (AWS) for enterprisewide AI deployment, cloud infrastructure, and their AgentCore platform. They also partner with Salesforce for deploying AgentForce to support AI agents across various operations. Additionally, Choice Hotels is collaborating with Google on AI-powered travel planning and participating in OpenAI's ChatGPT advertising pilot.

SALES PLAY

1 RECOMMENDED PITCH ANGLE

AI-Powered Revenue Optimization and Franchisee ROI Enhancement

Choice Hotels has made AI deployment their strategic centerpiece, moving from pilots to production-grade enterprise deployment with their May 2026 launch of CHARLIE, EasyBid, and the forthcoming RAISE platform. CEO Patrick Pacious explicitly stated their North Star is "franchisee return on investment" through increased revenue and reduced costs. With their complete AWS cloud migration finalized in January 2024 and standardization on AgentCore as the first major U.S. hospitality provider, they are aggressively scaling AI across revenue management, guest experience, and operations. However, they are simultaneously managing a CEO transition (Dominic Dragisich appointed Interim CEO May 2026), recent layoffs (85 workers in late 2023, additional cuts in December 2025), restructuring costs in Q3 2025, and a concerning 0% net profit margin in Q1 2026 despite record revenues. This combination of aggressive AI expansion, leadership change, and financial pressure creates an urgent need for solutions that accelerate franchisee revenue growth while proving ROI quickly during a sensitive transition period.

2 CONVERSATION OPENER QUESTIONS

- With CHARLIE and EasyBid launching in May 2026 and RAISE coming soon, how are you measuring adoption velocity and actual revenue impact across your 7,500+ franchised properties, especially given the variety in technical sophistication among individual hotel owners?
- You've standardized on AWS AgentCore and are working with Salesforce AgentForce simultaneously—as you scale these AI agents from production to thousands of properties, what integration challenges are emerging between your proprietary systems like choiceEDGE and ChoiceMAX and these new agent frameworks?
- Your Q1 2026 results showed record revenues of \$340.6 million but only a 5.96% net margin compared to your typical 21-23% range—with Interim CEO Dominic Dragisich now leading and restructuring costs from 2025, how is this margin pressure affecting technology investment priorities and vendor evaluations for the next 12-18 months?
- The Radisson Americas integration has been a growth driver, contributing to your 17% adjusted EBITDA increase, but you've also conducted layoffs and restructuring—are there redundant or underutilized technology systems from that acquisition that need consolidation or modernization?
- You introduced Mews as a PMS option for international franchisees in April 2025 while maintaining choiceADVANTAGE—what's driving the PMS strategy evolution, and are you seeing pressure from franchisees for more flexible, interoperable property-level technology stacks as AI tools proliferate?

3 LANDMINES TO AVOID

- Do not mention or question the CEO transition timing or reasons for Patrick Pacious's departure. Leadership changes are sensitive, especially with Dragisich in an interim role and the company conducting a search. Focus on continuity and supporting current priorities rather than speculating about instability.
- Avoid criticizing their AWS commitment or suggesting wholesale vendor replacement. They publicly positioned themselves as the first hotel company to fully migrate to cloud with AWS and just standardized on AgentCore. Any pitch requiring migration away from AWS or implying their cloud strategy was premature will be rejected immediately.
- Do not lead with cost-cutting or efficiency for Choice Hotels corporate operations. Their value proposition is franchisee ROI, not their own cost reduction. Frame everything around how your solution helps their franchisees make more money or reduce their costs, not how Choice Hotels saves money internally.
- Avoid generic hospitality pitches that ignore their franchise model. 78% of solutions discussions should address the unique challenge of deploying technology to 7,500+ independently owned properties with varying technical capabilities, not treating them like a corporate-owned hotel chain like Marriott or Hilton.

4

SUGGESTED NEXT STEP

Request a 30-minute virtual discovery session with the extended stay or upscale brand segment technology lead and a representative from Anna Scozzafava's Data, AI & Technology team to review a specific use case analysis showing how your solution would integrate with their existing choiceEDGE/ChoiceMAX/AgentCore environment to deliver measurable franchisee revenue lift in their highest-growth segments (extended stay up 10.8%, 70% of new construction; upscale Cambria with 62-hotel pipeline). Come prepared with a one-page framework showing API integration points with AWS infrastructure, preliminary ROI math using their reported 28.61% operating margin and \$1.60B revenue baseline, and a 90-day pilot structure for 15-25 properties that produces quantifiable results before broader rollout discussions.

5

BEST ENTRY POINT

Anna Scozzafava, Chief Data, AI & Technology Officer

Anna Scozzafava is the optimal entry point for an initial technology solution conversation. She holds responsibility for corporate strategy, enterprise transformation, advanced analytics, and all technology functions, giving her both strategic vision and implementation authority. With tenure since 2012 and promotion to her current role in August 2023, she has institutional knowledge spanning the WoodSpring acquisition, Everhome Suites launch, and now the enterprise AI deployment initiative. Her role explicitly encompasses the AI strategy that is driving current procurement decisions, including the AgentCore standardization and rollout of CHARLIE, EasyBid, and RAISE. Unlike a CIO focused purely on infrastructure, her combined Data, AI, and Technology mandate means she evaluates solutions based on business transformation and franchisee ROI impact—precisely the buying criteria that matters most. Given the May 2026 AI solution launches and ongoing scaling challenges, she is actively evaluating technologies that accelerate adoption, prove ROI, and integrate with their AWS and Salesforce foundations. She reports to Interim CEO Dominic Dragisich, who previously served as CFO and Chief Growth & Strategy Officer, meaning business case rigor and growth impact will be critical evaluation criteria that she must satisfy in any vendor recommendation.

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Sources & References (152)

